P-38 Commercial Development Town Hall — Summary

Tellico Village POA | September 21, 2026

Background

Tellico Village POA purchased the remaining undeveloped parcels from the original developer, CCI, in December 2020/2021. P-38 — a 36.9-acre tract on Highway 444 (Tellico Parkway) across from Coyatee View, north of Popular Ridge Road — was the largest of these and the last critical parcel needed to pay off the Cooper community's loan. TVPOA President Mike Lackey opened the meeting by explaining that revenue from this sale flows straight through to the Cooper communities to retire that final loan; remaining parcels beyond this one will be available for either development or green belt, at the discretion of the board at that time.

The meeting featured Hunter and Jim Harrison of CHM LLC, the project developers, presenting the final commercial plan and taking audience questions. A hard stop was set for 1:45 p.m.

Project Overview

- **Location:** Intersection of Tellico Parkway (Hwy 444) and Popular Ridge Road, adjacent to Coyatee/Coy Point neighborhoods.
- **Size:** ~36.9-acre parcel; the shopping center itself will occupy roughly 11 acres. The remaining ~26 acres will not be developed — the terrain (a steep drop to TVA property/Watts Bar Lake) and a TVA transmission line easement make that land unsuitable for further building.
- **Anchor tenant:** An unnamed grocery chain ("a green logo," strong presence in Florida, Fortune 500 Best Companies to Work For, and a major regional food-bank donor per audience comments) is under a confidentiality request until its own press release. The store will run ~50,000 sq. ft., comparable in size to the newer Publix on Watt Road in Knoxville, and include a full-service pharmacy with drive-through and vaccine services, a deli with grab-and-go and sushi, and a full bakery. The prototype includes a mezzanine level above the main entrance.
- **Retail shops:** ~8,000 sq. ft. of small-shop space, currently laid out as five subdividable units (likely to be combined for larger tenants). Possible tenant types mentioned: fitness studios, salons, a liquor store, and similar "Class A" shopping-center tenants — no large sit-down restaurant is planned due to space constraints, and grab-and-go food is the goal instead.
- **Cost:** The project is estimated near $30 million.
- **Cannibalization:** The site is over six miles from the existing Food Lion; in the developer's experience, the chain can support locations as close as three miles apart without cannibalizing sales, so leadership does not expect this to threaten the existing store.
- **Comparable site:** Developers compared the site favorably to the company's Watt Road (Knoxville) location, citing Tellico Village's dense "rooftop" count near the site as a key driver of the tenant's interest, along with comparable communities they've developed near in Georgia (Lake Oconee area).

Site Design, Traffic & Infrastructure

- **New traffic signal:** A signal will be installed at Tellico Parkway and Popular Ridge Road, fully funded by the developer (100% of cost). An independent traffic study by CDM Smith found current conditions on the Parkway (roughly 13,000 vehicles/day) already warrant a signal, independent of the project. The study projects the project itself will not materially increase overall traffic volume — it mainly shifts some existing through-traffic into turning movements at the new intersection. Growth in Parkway traffic generally (from village and area growth) was estimated at 7–10% over the next several years.
- **Turn lanes:** Dedicated right- and left-turn lanes will be built at Tellico Parkway/Popular Ridge and at Tellico Parkway/Coy Point Drive, including a right-turn lane on Popular Ridge to keep village-bound traffic flowing. Storage length for the northbound left-turn lane was cited as 150+ feet, sized per the traffic study.

- **Sequencing:** Road widening, turn lanes, and signal construction happen concurrently with site construction. The signal must be fully operational before the store can receive a certificate of occupancy — there is no scenario where the store opens without it. TDOT has already received and reviewed the traffic warrant study; remaining steps are permit approval.
- **Construction traffic:** Trucks and equipment will access via Popular Ridge Road (not Tellico Parkway) with an on-site staging area, minimizing traffic impacts. During construction, single-lane traffic on the roads being widened is likely for a period; overall project duration is roughly a year (mass grading takes 4–5 months). Significant construction-generated traffic isn't expected until nearer store opening.
- **Stormwater:** Site currently drains through a culvert into water across Popular Ridge Road. TDEC requires water-quality detention/retention units on-site to clean stormwater before release; the developer confirmed full compliance with TDEC stormwater protection standards.
- **Grading:** Cutting into the hillside roughly 50 feet is required; excess dirt will largely be used on-site to stabilize the remaining acreage and reduce costs.
- **Buffers/landscaping:** The building sets back roughly 400 feet from the Parkway. New trees (15 ft. at planting, growing to ~40 ft.) and shrubbery will screen the center along the Tellico Parkway–facing side per the TVPOA Commercial Handbook landscape requirements; the developer emphasized minimizing vegetation removal beyond what's needed for signal sightlines.
- **Lighting/signage:** All lighting must comply with the Commercial Handbook (dark-sky/light-pollution rules); a photometric survey was completed showing no light spillover to the Parkway. Lights will be shielded/canopied and generally run only during operating hours plus a short period after, for employee safety. Signage at both the Tellico Parkway and Popular Ridge ride-in/ride-out points will be roughly 6–8 feet tall, similar in scale to village neighborhood signs, and also low-intensity per the Handbook.
- **Materials/architecture:** All plans go through TVPOA's Architectural Review Committee (ACC) and must meet Commercial Handbook standards, including a requirement (per one resident, to be confirmed) for at least three different exterior materials. Several residents pushed for a more upscale façade; the developer responded that full brick or higher-end materials would meaningfully raise project cost, potentially threatening feasibility, but that the design already meets Handbook requirements.
- **Utilities:** Water is provided by LUB (Lenoir City Utilities Board); sewer service comes through TVPOA, which is the only wastewater line crossing the lake from that area. The developer estimates usage comparable to the existing Food Lion (~30,000 gallons/month, equivalent to about six homes) and says the existing 6-inch sewer line easily accommodates it. The developer pays all tie-in costs and usage rates; TVPOA leadership does not expect the project to burden existing water/sewer staffing or capacity.
- **Roofing/climate:** The roof will use white, reflective rubber-type insulated roofing; no solar panels are currently planned, though the building will include additional climate insulation for efficiency.
- **Electrical grid:** The developer has worked with the electrical provider, which has reviewed the plans and confirmed sufficient power with no anticipated need for new substations.
- **Fire protection:** Fire-flow testing has already been done in cooperation with TVPOA and shows adequate flows for fire protection. The building must pass fire inspection for its certificate of occupancy; the volunteer fire department has mutual aid agreements with Lenoir City, Loudon, and other regional departments.

Zoning, Land Use & Future Development

- Surrounding land is zoned agricultural (A1/A2); Loudon County has been resistant to rezoning in this area, particularly because feeder roads (Popular Ridge is ~22 ft. wide, narrowing to ~16 ft. further out) can't support the density such rezoning would require. A2 zoning allows only one house per 2.5 acres, and any rezoning to residential (R2) would require county sewer/water hookup that isn't anticipated.
- The undeveloped ~26–27 acres has no current development restrictions from TVPOA, but any future development there would need TVPOA's sewer tie-in approval — TVPOA controls the only wastewater line serving that area, giving it effective leverage over anything beyond a green belt use. The grocery tenant also imposes its own use restrictions on adjacent property (to be recorded).
- The property is currently zoned commercial (not residential), so it wasn't platted into residential lots historically and would need to be rezoned to become one.

- On annexation risk: one resident raised concern about Lenoir City's history of non-contiguous annexation and cited ongoing litigation elsewhere in the county on this issue. The developer does not want annexation (it would mean added taxes) and believes it would require contiguous land, noting TVA property sits behind the parcel.
- A resident asked if there had been any negotiations with the owners of neighboring farmland to the west; the developer confirmed there have been none.
- A resident asked how many residential lots the parcel could have yielded if subdivided instead; TVPOA leadership said that information isn't readily available and noted the parcel has always been zoned commercial and would require rezoning approval, and that topography doesn't favor residential use anyway.
- No plans exist for future residential development tied to this project, and the developer says the tenant's approval was based on existing residential density, not on any commitment to add rooftops.

Financing

The developer is pursuing an agreement with the Loudon County Industrial Development Board (IDB). Per the developer, this structure does not reduce or divert the property or sales tax revenue that goes to the county — the project pays a sum to the IDB, which then pays 100% of property taxes due, with any excess used to help offset the elevated cost of the signal and road improvements. No government bonds, low-interest loans, or other subsidies are being sought; all financial risk sits with the developer and tenants.

Estimated new sales tax revenue to the county: roughly $500,000–$650,000, according to the developer. (A resident/county commissioner separately cited a Loudon County Economic Development study estimating $40+ million in grocery sales currently being lost to neighboring counties.)

Lease term: 20 years, with options extending to 80 years.

Timeline

- Target start of earthwork: before the end of 2026 (to avoid winter ground-freezing delays); if missed, spring 2027.
- Overall construction, groundbreaking to opening: approximately one year; mass grading alone takes 4–5 months.
- Next public step: the developer is scheduled to appear before the Loudon County Planning Commission on October 13, 2026; residents in favor were encouraged to attend.

Audience Q&A (by Topic)

Traffic, Signal & Roads

Q: Dock access / lake proximity: is a dock possible since the back of the property touches Watts Bar Lake–adjacent land?

A: No — the back of the parcel is a roughly 75-foot cliff down to TVA property, making a dock infeasible.

Q: Turn-lane specifics: where exactly will dedicated turn lanes be located? (Larry Taylor, Bob Gross)

A: Dedicated right- and left-turn lanes will be built at both the Popular Ridge and Coy Point Drive intersections, sized per the traffic study to handle stacking.

Q: Did the traffic study account for traffic from areas west of 444 (Piney, Popular Ridge, Zion Ridge) that currently lack a nearby grocery option? (Commissioner Bob Gross)

A: Yes — the study used a roughly 15-minute drive-time trade area that captures this traffic.

Q: What is the projected growth in daily traffic counts beyond the current ~13,000 vehicles/day?

A: An estimated 7–10% growth over several years, driven by overall village/area growth rather than the project itself, based on the CDM Smith study, which TVPOA can make available to residents.

Q: Concern about limited sight distance on a sharp curve near Coy Point coming from Lenoir City, where the posted 40 mph limit is commonly ignored — will there be advance warning signage?

A: Yes, TDOT-standard advance warning signage will be installed ahead of the new signal.

Q: Will the signal use fixed timing or vehicle-detection, so drivers exiting Coy Point Drive aren't stuck on a long fixed cycle?

A: Timing will be based on the traffic study and TDOT review, with some form of vehicle-detection system; it will likely be fine-tuned after activation.

Q: Can you confirm the store won't open until the signal is fully operational?

A: Confirmed — signal and road construction run simultaneously with site construction, funded 100% by the developer, and there is no scenario where the store opens without the signal.

Q: Will construction create major traffic delays on 444?

A: Construction traffic will be minimal since trucks route via Popular Ridge Road with on-site staging; significant traffic impact is tied mainly to signal/store completion, not ongoing construction.

Q: Does TDOT have a committed schedule, given other long-delayed signal requests in the area?

A: The warrant study was submitted roughly a year ago; approval will follow once building permits are issued, with signal and store construction proceeding together.

Environmental & Site Design

Q: What provisions are being made for stormwater detention/retention given the increase in impervious surface? (President, Tellico Reservoir Watershed Association)

A: TDEC-required water quality units will retain and cleanse water before release into the existing drainage path; the project is in full compliance with TDEC stormwater protection standards.

Q: Can you describe the vegetative buffer along 444 and the signage plan?

A: The building sets back roughly 400 feet from the Parkway; trees/shrubs will buffer it per the Commercial Handbook, with vegetation removal limited to what's needed for signal sightlines. Signage will be 6–8 feet tall with low-intensity, Handbook-compliant lighting.

Q: Could the building façade be more upscale, and does the Handbook require three different exterior materials? (Scott Duncan, Chuck Doran)

A: The current design complies with the Commercial Handbook; going beyond it (e.g., full brick) would significantly raise costs and could threaten project viability.

Q: What is being done to offset the loss of tree cover to pavement, especially after such a hot summer?

A: Lighter-colored asphalt, a white reflective rubber roof, and additional building insulation are the main mitigations planned; no dedicated large-scale heat-mitigation plan exists beyond that.

Q: Are solar panels planned?

A: No current plans for solar panels, though the building will include additional climate insulation for efficiency.

Zoning, Land Use & Future Development

Q: Can TVPOA restrict future development on the unused ~27 acres?

A: Any future development there would need TVPOA approval to tie into sewer — the only wastewater line crossing the lake from that area — giving TVPOA effective control, aside from potential green-belt use, which wouldn't require such approval.

Q: Given the developer's history with mixed residential/commercial projects, are there residential plans for this site?

A: No — this is purely a standalone shopping center; topography prevents residential development, and the tenant's approval didn't require additional rooftops.

Q: Why is high-density residential development around the site unlikely?

A: Narrow feeder roads (as narrow as 16 feet), county reluctance to rezone, and the requirement that any residential rezoning connect to county water/sewer all make it very unlikely.

Q: Could Lenoir City annex this area, given its history of non-contiguous annexation and related litigation elsewhere in the county?

A: The developer does not want annexation (it would mean added taxes) and believes contiguous land would be required, noting TVA land sits directly behind the parcel.

Q: Have there been negotiations with owners of neighboring farmland to the west?

A: No, there have been none.

Q: How many residential lots could the parcel have yielded if subdivided instead?

A: That information isn't readily available; the parcel has always been zoned commercial and would require rezoning approval, and topography doesn't favor residential use anyway.

Utilities, Emergency Services & POA Operations

Q: Will the developer fund all utility infrastructure, with TVPOA continuing to manage it?

A: Yes — the developer funds all infrastructure, tie-in costs, and usage rates; TVPOA continues to provide water/sewer service and does not expect a need for additional staffing given current capacity.

Q: Will the volunteer fire department cover the property?

A: Yes, with existing mutual aid agreements with Lenoir City, Loudon, and Vonore, and a standard fire inspection required before occupancy.

Q: Will POA fees be charged per tenant or as one combined fee?

A: Per tenant hookup.

Business, Tenants & Operations

Q: Will residents get input on which small-shop tenants are selected?

A: Yes — a resident survey will be conducted once construction begins to gather input on desired tenants; this has not yet happened despite an earlier impression that it had.

Q: What will the grocery store's operating hours be?

A: Roughly 7 a.m.–9/10 p.m., subject to Commercial Handbook restrictions.

Q: Are there restrictions on delivery/truck hours?

A: No formal delivery-time restrictions currently exist in the Commercial Handbook; deliveries are expected at off-peak times, and the developer agreed to look into truck engine-brake ("Jake brake") restrictions on 444.

Q: Will the project compete with existing POA-run businesses (restaurants, catering, golf, apparel, etc.)? (submitted online by Kevin Claus)

A: There isn't enough retail square footage for a sit-down restaurant (the goal is grab-and-go), and the developer doesn't anticipate meaningful competition with TVPOA operations.

Q: Will any small shop tenants have a drive-through (e.g., a coffee shop)? (submitted online by Tony Farmer)

A: Only the pharmacy will have a drive-through; small shop tenants would be walk-in only due to truck routing/stacking conflicts behind the building.

Q: Are there any gas station plans? (submitted online by Chris Hoffer)

A: No — the site lacks the "outlot" space in front of the center typically used for that.

Q: Since the area is unincorporated, can the grocery tenant sell alcohol?

A: Alcohol sales require state-level licensing (rather than a local vote) in unincorporated areas; the tenant is pursuing that licensing directly and has extensive experience doing so.

Q: Will the grocery tenant offer delivery/pickup?

A: Yes, confirmed.

Q: Could additional retail be added later if the initial five tenant spaces succeed?

A: Units may be combined for larger tenants, and limited additional land on Popular Ridge could theoretically be used, though topography makes it costly; any expansion would go through TVPOA.

Q: Will the store include a sit-down café, and will it have a scale?

A: The new store prototype includes a mezzanine above the main entrance; a scale will also be installed.

Q: Will CHM LLC remain the owner and manager of the property?

A: Yes — CHM LLC will remain the owner and will self-manage the property, citing strict tenant-imposed maintenance standards for landscaping, upkeep, and repairs.

Q: How does parking here compare to the developer's Farragut project?

A: More grocery parking here (bigger store) but less shop parking (smaller shop footprint); parking exceeds code minimums per the tenant's own higher-ratio, wider-stall requirements.

Financial & Regulatory

Q: How much of the projected $500,000–$650,000 in new sales tax revenue would come back to support the Tellico Village fire department?

A: This question was directed to the county commissioners present rather than the developer; no specific dollar figure was given in response.

Q: What is the IDB/subsidy structure, and does it reduce tax revenue to the county?

A: No bonds, low-interest loans, or subsidies are being sought; the IDB arrangement is structured so 100% of property and sales tax still flows to the county, and excess IDB payments offset the developer's infrastructure costs.

Q: What does prospective-resident survey data show about community concerns, and how does this project address them? (TVPOA ad hoc marketing team member)

A: Of 561 tours surveyed in 2025 (227 responses, ~41% response rate), 32% had no complaints about Tellico Village, while traffic/lack of walkability (19%) and remoteness/inaccessibility to services (13%) were the top two dislikes. The new development and signal directly address both concerns, especially since most visitors enter via this north entrance corridor. The village is 87% built out as of December 31, 2025.

Miscellaneous

- One resident asked (in jest) about the possibility of a Waffle House on the property; the developer said they could "certainly try."

- A TVN viewer asked which municipality provides water to the grocery store; confirmed as LUB, with power provided separately (not through TVPOA).